

responsibility of senior management. Today, a cutting-edge company such as Intuit can point to success stories like SnapTax because it has recognized the need for a new management paradigm. This is a realization that was years in the making.³

A SEVEN-THOUSAND-PERSON LEAN STARTUP

In 1983, Intuit's founder, the legendary entrepreneur Scott Cook, had the radical notion (with cofounder Tom Proulx) that personal accounting should happen by computer. Their success was far from inevitable; they faced numerous competitors, an uncertain future, and an initially tiny market. A decade later, the company went public and subsequently fended off well-publicized attacks from larger incumbents, including the software behemoth Microsoft. Partly with the help of famed venture capitalist John Doerr, Intuit became a fully diversified enterprise, a member of the Fortune 1000 that now provides dozens of market-leading products across its major divisions.

This is the kind of entrepreneurial success we're used to hearing about: a ragtag team of underdogs who eventually achieve fame, acclaim, and significant riches.

Flash-forward to 2002. Cook was frustrated. He had just tabulated ten years of data on all of Intuit's new product introductions and had concluded that the company was getting a measly return on its massive investments. Simply put, too many of its new products were failing. By traditional standards, Intuit is an extremely well-managed company, but as Scott dug into the root causes of those failures, he came to a difficult conclusion: the prevailing management paradigm he and his company had been practicing was inadequate to the problem of continuous innovation in the modern economy.

By fall 2009, Cook had been working to change Intuit's management culture for several years. He came across my early work on the Lean Startup and asked me to give a talk at Intuit. In Silicon Valley this is not the kind of invitation you turn down. I